

## **Fraud Prevention Policy**

### **Purpose**

To safeguard [Your E-commerce Site] against fraudulent transactions and reduce financial losses from chargebacks, while maintaining a seamless customer experience.

## **2. Fraud Prevention Measures**

- **Identity Verification**
  - Require CVV for all card payments.
  - Use 3D Secure (Verified by Visa, Mastercard SecureCode).
  - Implement address verification (AVS) for billing/shipping.
- **Transaction Monitoring**
  - Flag high-risk transactions (large orders, mismatched billing/shipping, multiple failed attempts).
  - Use machine learning or rule-based fraud detection tools.
- **Account Security**
  - Enforce strong password policies.
  - Enable two-factor authentication for customer accounts.
  - Monitor for multiple accounts from the same IP/device.

## **3. Chargeback Mitigation Strategies**

- **Clear Policies**
  - Publish transparent Return & Refund Policy and Shipping Policy.
  - Ensure product descriptions and images are accurate.
- **Customer Communication**
  - Send order confirmation and shipping updates promptly.
  - Provide tracking numbers and delivery estimates.
  - Maintain responsive customer support channels.
- **Evidence Collection**
  - Keep proof of delivery (signed receipts, carrier tracking).

- Store customer communication logs.
- Maintain transaction metadata (IP address, device fingerprint).

#### **4. Escalation & Response**

- **Level 1:** Customer Support reviews disputed transaction.
- **Level 2:** Fraud Analyst investigates using transaction logs and risk scoring.
- **Level 3:** Finance Team prepares chargeback response with supporting evidence.
- **Level 4:** Legal/Compliance team engaged for repeated or large-scale fraud.

#### **5. Monitoring & Reporting**

- Weekly fraud incident reports reviewed by operations.
- Monthly chargeback ratio tracked (goal: <1%).
- Continuous improvement via updated fraud rules and AI models.